



Case study
VAREXIA SE

Your role / situation

Please imagine the following situation:

You have been asked by the Executive Board of the VAREXIA Group to provide an independent, senior-level assessment of the Group's current situation. Varexia is a publicly listed European stock corporation (SE) with a dual management structure.

You have received a selection of internal and external documents shortly before the meeting. The material is deliberately incomplete. This reflects the reality of executive decision-making.

You are expected to work with the information available, explicitly acknowledge blind spots, and distinguish clearly between what can be assessed with confidence and what cannot.

You will present your assessment directly to the Executive Board.

You are speaking to the Board, not about it.

Your task

You are asked to structure and articulate your judgment along two dimensions:

1. Analysis

- How do you assess the current situation of the Varexia Group based on the available information?
- Which patterns, tensions and interdependencies do you see across the organization, the financial profile and the governance system?
- Where do you see the most relevant challenges?

- Where do you see uncertainty or blind spots that should be named explicitly?

2. Conclusions / assessment

- What conclusions do you draw from your analysis?
- Which issues require explicit prioritization or decision at Executive Board level?
- Where do you see a need for action – and where consciously not?
- Which conflicting objectives do you consider structurally irresolvable and therefore requiring a deliberate choice?
- The objective is not to propose a comprehensive action plan or an "optimal solution."
- What matters is the clarity of your reasoning, the quality of your prioritization, and the explicit handling of trade-offs.

Framework

You have limited time and incomplete information. This is intentional. Your task is to provide a clear, coherent and senior-level assessment under uncertainty.

Individual analysis: 60 minutes

Presentation: 15 minutes

Corporate Overview



About Us

- Diversified multinational corporation with global presence
- Partially autonomous business units operating in distinct markets

€ 42,0 Mrd.

Revenue

€ 1,4 Mrd.

Ebit

284,000

Employees

€ 28,7 Mrd. *

Market Value

** Significant decline in recent month*



Business Segments

Retail & Consumer Goods

- **Revenue:**
€ 24,5 Mrd.
- **EBITDA:**
€ 1,8 Mrd.
- **Employees:**
190,000

Logistics & Supply Chain

- **Revenue:**
€ 8,0 Mrd.
- **EBITDA:**
€ 0,6 Mrd.
- **Employees:**
55,000

Energy & Infrastructure

- **Revenue:**
€ 6,5 Mrd.
- **EBITDA:**
€ 0,8 Mrd.
- **Employees:**
25,000

Digitale Services & Consulting

- **Revenue:**
€ 3,0 Mrd.
- **EBITDA:**
€ 0,5 Mrd.
- **Employees:**
15,000

Business areas

Retail & Consumer Goods

Operation of a broad network of retail stores delivering fresh food, groceries, and household products

- Supermarkets & hypermarkets
- Convenience stores
- Private label brands



Logistics & Supply Chain

Provision of integrated logistics and supply chain solutions ensuring efficient distribution and warehousing

- Wholesale distribution
- Supply chain management
- Warehousing & transport services



Energy & Infrastructure

Investment in and operation of modern infrastructure and sustainable energy solutions to drive the energy transition

- Renewable energy generation
- Infrastructure projects
- Energy distribution services



Digital Services & Consulting

Delivery of innovative digital solutions and consulting services supporting business transformation and growth

- IT & cloud solutions
- Digital transformation consulting
- Data & analytics services



Group Financial & KPI Overview (FY 2025)

Business-unit view

Business Unit	Retail & Consumer Goods	Logistics & Supply Chain	Energy & Infrastructure	Digital Services & Consulting
Revenue (€ bn)	24,5	8	6,5	3
EBITDA (€ bn)	1,8	0,55	0,75	0,5
EBITDA Margin (%)	7,3	6,9	11,5	16,7
Employees (FTE)	190000	55000	25000	15000
Top KPIs (examples)	Like-for-like sales Gross margin Working capital	Service level (OTIF) Cost per case/delivery Warehouse utilization	CAPEX intensity ROI/IRR (portfolio) Regulatory compliance risk	Utilization rate Project margin Talent retention (key roles)
Key strategic tension	Price leadership vs. profitability	Speed & reliability vs. cost efficiency	Long-term assets vs. short-term returns	Scalability vs. people dependency

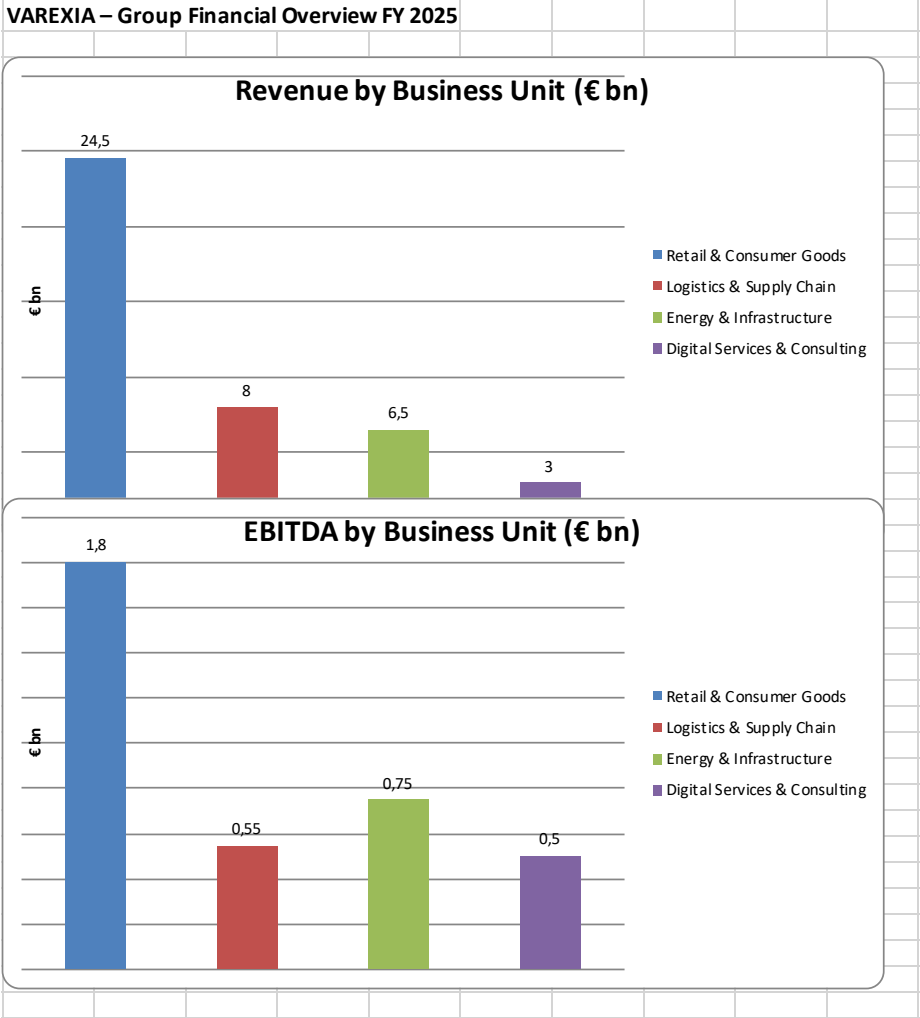
Definitions: Revenue = external sales; EBITDA = earnings before interest, taxes, depreciation & amortization; EBITDA margin = EBITDA / Revenue; Employees = headcount (FTE approx.).

Balance Sheet

Consolidated Balance Sheet (FY 2025)			
<i>Figures in € bn (three decimals).</i>			
ASSETS		EQUITY & LIABILITIES	
Non-current assets		Equity	
Goodwill	12.384,00 €	Share capital	3.116,00 €
Other intangible assets	6.358,00 €	Capital reserves	6.482,00 €
Land & buildings	10.972,00 €	Retained earnings	12.996,00 €
Plant & equipment	7.614,00 €	Other comprehensive income (OCI)	- 690,00 €
Construction in progress	2.800,00 €	Subtotal equity	21.904,00 €
Right-of-use assets - stores & sites	10.745,00 €		
Right-of-use assets – logistics network	2.411,00 €	Non-current liabilities	
Right-of-use assets - vehicles & other	762,00 €	Pension provisions - defined benefit	5.102,00 €
Equity investments	3.214,00 €	Other long-term employee benefits	582,00 €
Joint ventures & associates	2.001,00 €	Bonds	11.400,00 €
Other financial investments	999,00 €	Bank loans (long-term)	9.650,00 €
Deferred tax assets	1.487,00 €	Other financial liabilities (long-term)	2.561,00 €
Subtotal non-current assets	61.747,00 €	Lease liabilities - stores & sites (LT)	9.880,00 €
		Lease liabilities - logistics (LT)	1.360,00 €
Current assets		Lease liabilities - other (LT)	502,00 €
Inventories – merchandise	6.102,00 €	Deferred tax liabilities	2.816,00 €
Inventories - packaging & consumables	641,00 €	Subtotal non-current liabilities	43.853,00 €
Inventories - energy commodities	520,00 €		
Trade receivables	3.781,00 €	Current liabilities	
Other receivables	1.137,00 €	Commercial paper / short-term notes	2.100,00 €
Cash on hand & bank balances	4.322,00 €	Bank overdrafts & credit lines	1.436,00 €
Short-term deposits	1.490,00 €	Current portion of long-term debt	1.200,00 €
Subtotal current assets	17.993,00 €	Lease liabilities - current portion	1.610,00 €
		Lease liabilities - other current	353,00 €
		Trade payables	5.912,00 €
		Accrued expenses & other current liabilities	1.372,00 €
		Subtotal current liabilities	13.983,00 €
TOTAL ASSETS	79.740,00 €	TOTAL EQUITY & LIABILITIES	79.740,00 €

VAREXIA – Group Financial Overview FY 2025

Business Unit P&L Overview				
FY 2024 vs FY 2025				
Business Unit		FY 2024 (€ bn)	FY 2025 (€ bn)	Delta YoY (€ bn)
Retail & Consumer Goods	Revenue	23,82	24,5	0,68
	EBITDA	1,65	1,8	0,15
Logistics & Supply Chain	Revenue	7,6	8	0,4
	EBITDA	0,7	0,55	-0,15
Energy & Infrastructure	Revenue	6,2	6,5	0,3
	EBITDA	0,75	0,75	0
Digital Services & Consulting	Revenue	2,7	3	0,3
	EBITDA	0,43	0,5	0,07



VAREXIA – Cash Flow FY2025

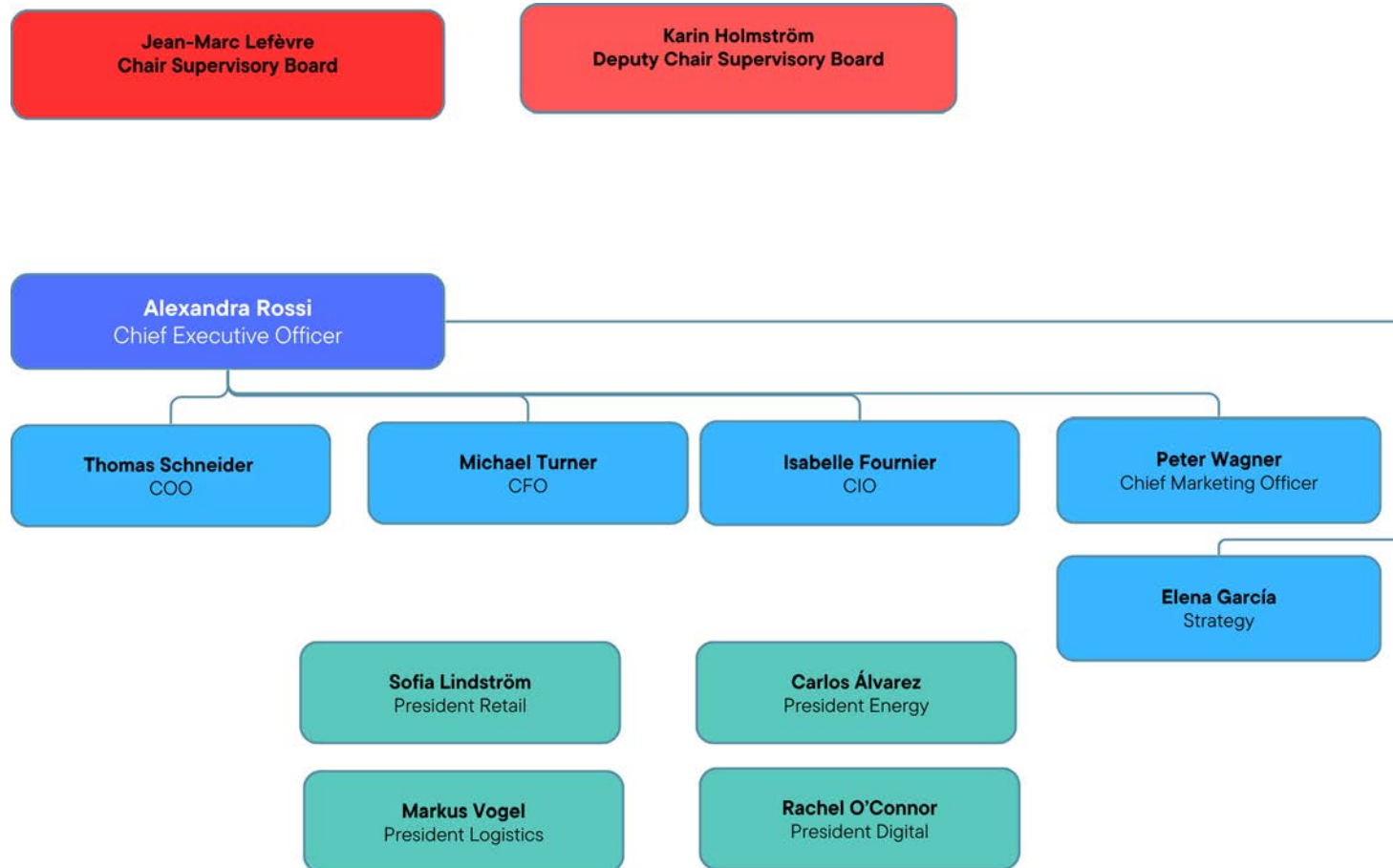
Operating activities	
EBITDA	3,612
Depreciation & amortization	2,184
Provisions (pensions, others)	0,248
Working capital	-1,396
Income taxes paid	-0,862
Net cash from operating activities	3,786
Investing activities	
Capital expenditure (PP&E)	-1,482
Capital expenditure (ROU assets)	-0,846
Proceeds from asset disposals	0,318
Investments in associates & JVs	-0,214
Net cash from investing activities	-2,224
Financing activities	
Net change in financial debt	0,742
Net change in lease liabilities	0,391
Dividends paid	-0,624
Interest paid	-0,518
Net cash from financing activities	-0,009
Cash bridge	
Opening cash balance	5,812
Net change in cash	1,553
Closing cash balance	7,365
NET CHANGE IN CASH	1,533

Cashflow Stress Scenario 2026

Liquidity pressure caused by operational shifts, investment timing and working capital dynamics

Simplified Cashflow Development (FY 2026 – Stress Case)		
Item	Amount (€ bn)	Comment
EBITDA (plan)	3,70	Broadly in line with expectations
Delta working capital	-1,40	Inventory build-up & delayed receivables
CAPEX (incl. IFRS 16)	-2,30	Timing shift into H1 2026
Cash taxes & pensions	-0,90	One-off effects
Operating Free Cash Flow	-0,90	Negative earlier than planned
Net financing effects	0,40	Short-term facilities utilized
Net change in cash	-0,50	Liquidity buffer reduced
Key Stress Drivers		
Faster-than-expected inventory build-up in Retail & Consumer Goods		
Service-level stabilization in Logistics increasing short-term costs		
Front-loaded CAPEX in Energy & Infrastructure projects		
Limited flexibility in lease-related cash outflows		
Immediate Implications		
Net debt / EBITDA temporarily increases above 3.6x		
Internal liquidity buffer falls below comfort range		
Increased sensitivity to interest rate movements		
Rating agencies request additional transparency		

Selected management functions (January 2026)



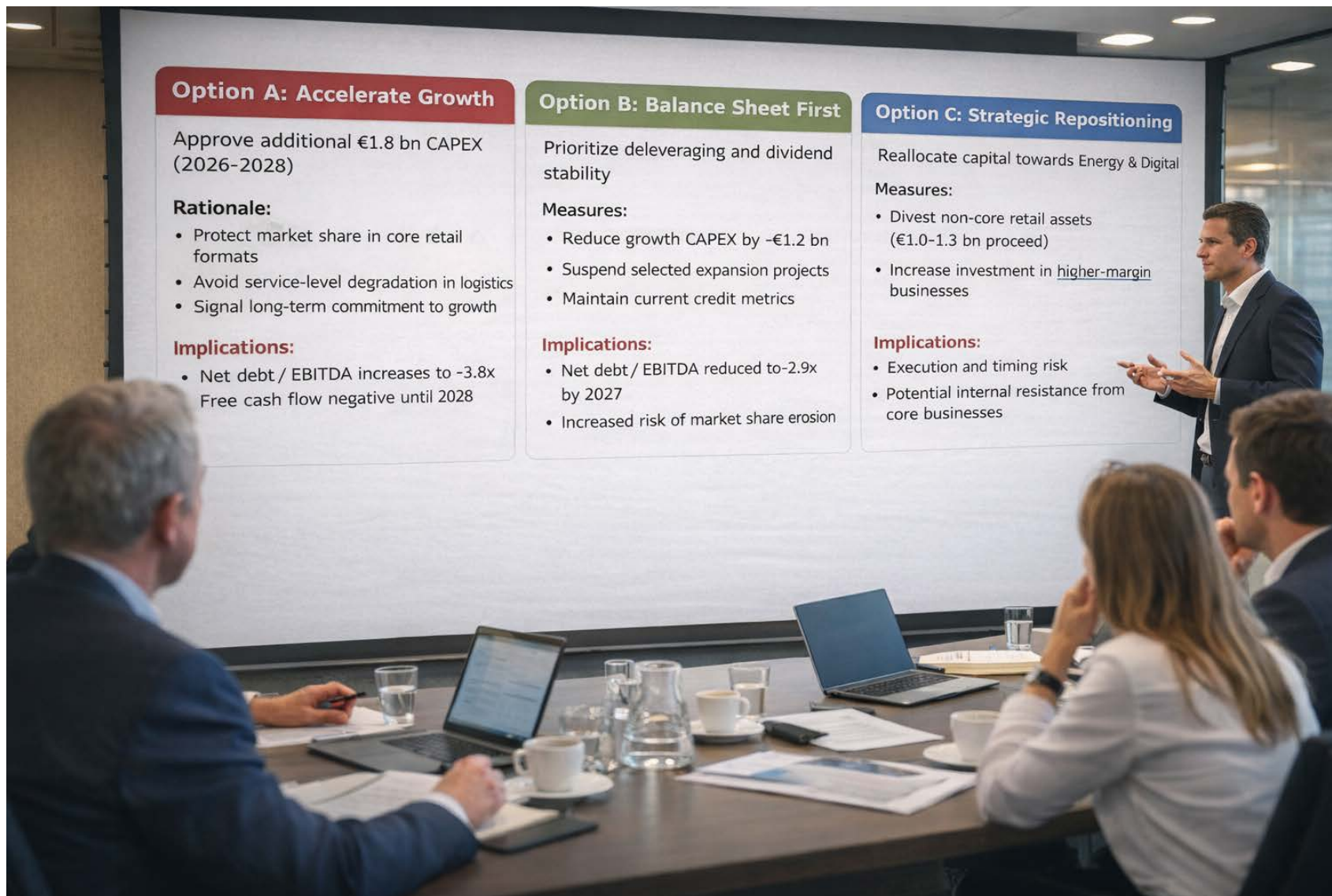
Impressions from Supervisory Board Meeting (January 2026)

Discussion regarding share price development (1/3)



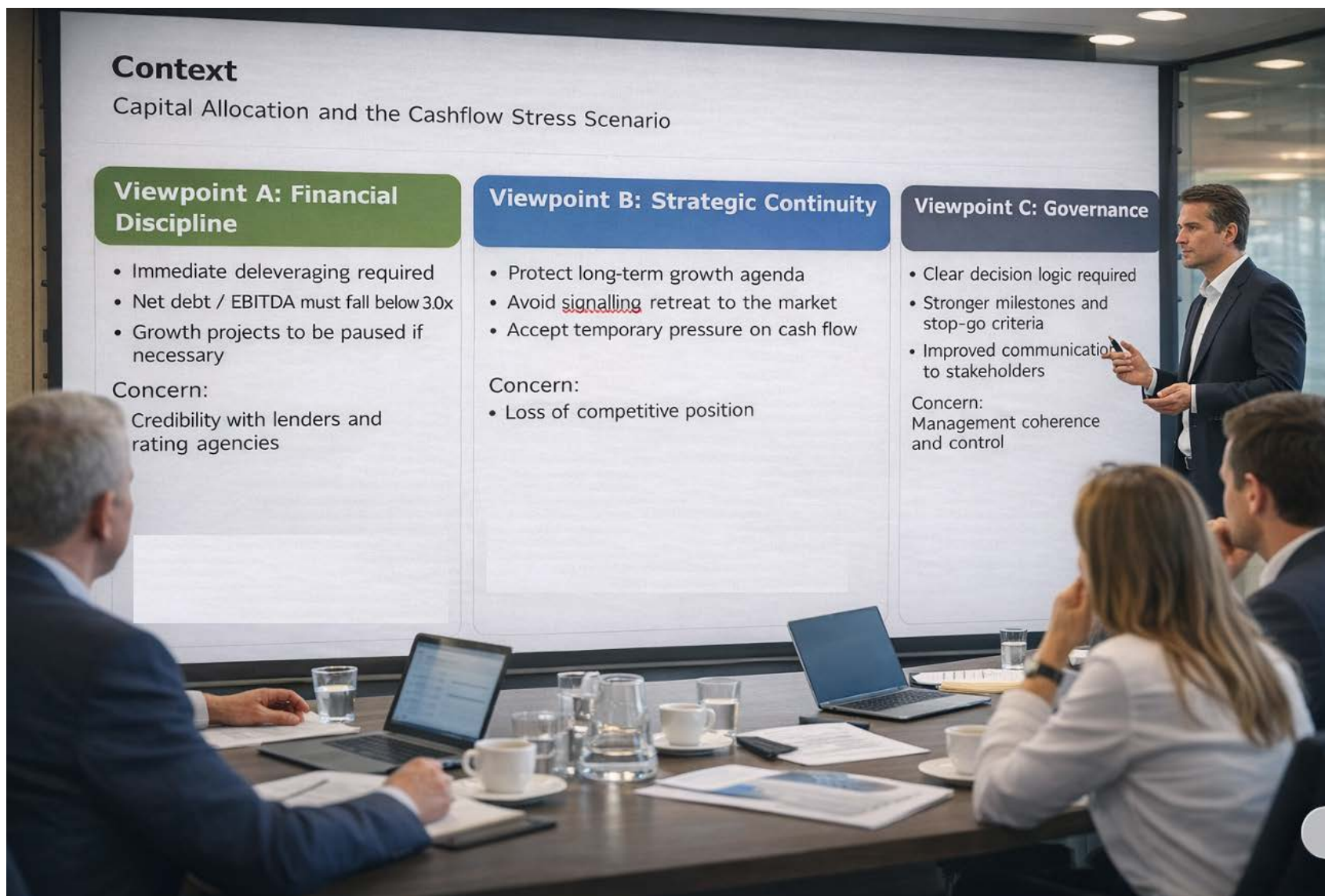
Impressions from Supervisory Board Meeting (January 2026)

Discussion regarding Strategic Options (2/3)



Impressions from Supervisory Board Meeting (January 2026)

Discussion regarding Asset Allocation and Governance (1/3)





**Varexia's trading division faces a delicate balancing act
– cash flow becomes the focus**

*Solid operational performance masks growing tensions between
investment ambitions and financial discipline*

The trading and infrastructure group Varexia is facing a delicate phase in its strategic cycle. Although its operating business is stable, even relatively minor deviations from the plan are having an increasingly noticeable effect on free cash flow – and are bringing capital allocation more sharply into focus for the Management Board, Supervisory Board, and external observers.

According to information from the company's environment, the timing and scope of investments and changes in working capital have become particularly important in recent months. While sales and margin figures continue to appear robust, liquidity developments are becoming the focus of internal discussions. Rating agencies are not alarmed so far, but are monitoring developments more closely – an indication of increased sensitivity to debt and financing flexibility.

Varexia, whose business areas range from food retail to logistics and energy infrastructure to digital services, generated revenues of around €42 billion in the past fiscal year with stable operating margins. Nevertheless, free cash flow is said to have come under pressure earlier than originally expected. The main drivers are considered to be front-loaded investments, particularly in logistics and energy projects, as well as inventory build-ups in individual business areas.

Management points to the resilience of the core business and the Group's broad earnings base. Internally, however, this development has triggered an intense debate about priorities. The central question is how ambitious growth programs can be reconciled with the need for balance sheet discipline and control.

The tension is particularly evident in the classic conflicts of interest faced by large retail groups: Varexia wants to invest in price attractiveness, supply chain stability, and the energy transition at the same time – without letting debt get out of hand. Net debt is still considered high, which is due to the capital-intensive structure of the business model and long-term rental and leasing obligations.

The supervisory board agrees on the problem description, but not on the right course of action. Some members advocate a more defensive approach and clearer prioritization in order to secure financial leeway. Others warn against curbing investment while competitive pressure in key markets is increasing. Too sharp a braking maneuver could weaken the strategic position in the long term.

External observers are also becoming more attentive. Analysts point out that Varexia remains well positioned operationally, but that cash flow transparency is becoming increasingly important. The decisive factor will be whether management succeeds in telling a convincing story—one that combines short-term financial discipline with a credible path to sustainable growth.

Competition in the European trade and logistics market is intensifying noticeably. According to market observers, major competitors are increasingly resorting to price promotions while simultaneously reviewing their investment programs.

In particular, the balance between growth, service quality, and financial stability is becoming more important. Several industry experts point out that delivery reliability and operational resilience are increasingly proving to be differentiating factors, especially in large-scale retail formats. At the same time, a comparison with competitors shows that the debt levels of some market participants are already at the upper end of the industry spectrum. Although overall profitability remains solid, the ability to finance investments from current cash flow is being questioned more critically.

Other retail groups are already responding by temporarily curbing their investments in order to secure financial leeway.

This restraint could increase competitive pressure for those who continue to expand aggressively. Industry experts therefore expect strategic priorities to shift in the coming quarters. The question is less whether to invest, but at what pace – and with what risk.



Email - CFO Briefing to Supervisory Board

From: Michael Turner (Chief Financial Officer)
To: Members of the Supervisory Board
Cc: Alexandra Rossi (CEO); Group Executive Committee
Subject: External Analyst Assessment - Context, implications and Next Steps
Date: 27 January 2026

Dear Members of the Supervisory Board,

I am sharing this note with a degree of personal candor that may feel unusual for a CFO communication. However, given the increasing external attention on our financial profile, I believe transparency at this stage is not only appropriate but necessary.

Earlier this week, we received an external credit-style assessment from Northbridge Capital Research. While the document is not public and has no immediate contractual consequences, its content reflects questions that are beginning to surface more broadly among banks and other capital providers.

The core message is not one of alarm, but of tension: our operating performance remains solid, yet cash generation is currently lagging behind reported earnings. This gap is largely explainable - front-loaded capital expenditure, working capital absorption and the scale of our leasing footprint - but it is also becoming harder to communicate convincingly without a clearer prioritization narrative.

What gives me pause, personally, is not the numbers themselves. It is the perception that our portfolio logic and capital allocation principles may appear opaque from the outside. Even if we internally understand the trade-offs well, external stakeholders are increasingly asking how long the current balance can be maintained without constraining flexibility. I do not believe we are facing a liquidity issue. I do believe, however, that we are approaching a point where we need to be more explicit - with ourselves and with others - about what takes precedence if conditions tighten.

I would welcome the opportunity to discuss this assessment with you in the next Supervisory Board meeting, not as a defensive exercise, but as a joint reflection on risk tolerance, investment pacing and communication.

Kind regards,

Michael
Chief Financial Officer

Confidential - internal communication

Email - CFO Briefing to Supervisory Board

From: Michael Turner (Chief Financial Officer)
To: Members of the Supervisory Board
Cc: Alexandra Rossi (CEO); Group Executive Committee
Subject: Liquidity stabilisation and capital allocation - coordinated response 27
Date: 27 January 2026

Dear Members of the Supervisory Board,

As discussed in recent exchanges, the Group remains operationally sound. At the same time, we are experiencing short-term liquidity pressure combined with an elevated leverage profile. While none of these factors is critical in isolation, their combination requires a coordinated and transparent response.

Management therefore proposes a sequenced set of measures designed to stabilize liquidity, protect the balance sheet and preserve our strategic options.

First, we will focus on immediate liquidity stabilization. This includes tighter working capital controls, the postponement of non-critical capital expenditure of approximately €0.6 billion, and the securing of additional short-term credit lines.

Second, we intend to strengthen balance sheet resilience through selective asset disposals in the range of €0.8-1.2 billion, lease renegotiations where feasible, and increased dividend flexibility. These actions are expected to move net debt/ EBITDA towards approximately 3.0x.

Third, we will explicitly safeguard strategically critical initiatives. Key growth and digital projects will be ring-fenced, clear stop-go criteria will be applied, and KPI monitoring will be further enhanced.

I would like to emphasize that this approach does not eliminate trade-offs. It does, however, make them explicit, manageable and transparent for all stakeholders.

I look forward to discussing this proposal with you in our upcoming meeting. Kind regards,

Michael
Chief Financial Officer

Confidential - internal communication

Email - Brief note on investor relations

From: Emily Watson (Head of Investor Relations)
To: Executive Board
Cc:
Subject: *Brief market update – share price performance & analyst feedback*
Date: 15 January 2026

Dear colleagues,

Here is a brief market update to help you understand the current external perception:

- The Varexia Group's share price is currently €38.40.
- Since the beginning of December, this represents a decline of around 18%.
- Increased volatility has been observed over the last six weeks, with no clear individual drivers.

Feedback from discussions with investors and sell-side analysts indicates that the focus is less on operating performance and more on cash flow development, the pace of investment, and prioritization.

Short excerpt from analyst call (IR summary)

"We don't see a crisis, but we also don't see clear prioritization. The question is less what Varexia is doing and more when the company is prepared to adjust course if cash flow and capital commitment do not improve."

There are currently no acute ad hoc events. Nevertheless, further developments are being closely monitored.

Best regards,

Emily
Investor Relations

Confidential - internal communication

Email - CFO Briefing to Supervisory Board

From: Jean-Marc Lefèvre (Chair of the Supervisory Board)
To: Michael Turner (CFO)
Cc:
Subject: *Reflections on liquidity management and strategic priorities*
Date: 18 January 2026

Dear Michael,

thank you for the outline of the proposed measures in response to the recent cashflow developments. The Supervisory Board appreciates the clarity of the analysis and reecognises the effort to balance short-term stabilisation with longer-term strategic considerations.

At the same time, several members remain concerned that the current approach may underestimate the speed at which external perceptions can change. In particular, the temporary increase in leverage and the reliance on short-term financing instruments were discussed critically.

Some members would welcome a more explicit prioritisation, even if this implies clearly accepting certain strategic or operational downsides. Others emphasised that repeated signalling of 'temporary effects' risks eroding confidence if similar situations occur again.

Against this background, the Supervisory Board asks the Executive Board to further elaborate: - which concrete thresholds would trigger a shift towards a more defensive stance; - how the proposed measures will be communicated consistently to lenders, rating agencies and internal stakeholders; - and which strategic initiatives would be reconsidered first should the stress scenario persist.

The tone of the discussion refleets not mistrust, but the heightened responsibility felt by the Supervisory Board in the current environment.

Kind regards

Jean-Marc Lefèvre
Chair of the Supervisory Board

Confidential - internal communication

Email - Request for clarification on financial flexibility

From: Peter Kennen, Senior Analyst - European Consumer & infrastructure
To: Investor Relations
Cc:
Subject: *Request for clarification on financial flexibility*
Date: 23 January 2026

Dear Investor Relations Team,

following the recent market discussions around capital allocation and balance sheet resilience in the European retail and infrastructure sector, we would appreciate further clarification on the Group's current financial flexibility.

While the FY 2025 results demonstrate solid operating performance, investors have noted the combination of elevated leverage, front-loaded capital expenditure and working capital volatility. In particular, questions have been raised as to how sensitive free cash flow generation is to moderate deviations from plan.

Against this backdrop, could you please comment on: - the expected trajectory of net debt / EBITDA over the next 12-24 months; - the degree of flexibility embedded in the current investment programme; - and the implications for dividend policy should cashflow pressure persist.

We are asking these questions in the context of an upcoming sector note and would value your perspective to ensure an accurate representation of the Group's financial positioning.

Kind regards,

Peter Kennan
Senior Analyst European Consumer & Infrastructure

Confidential - internal communication

Email - Regional Operations Retail

From: Anna Keller, Regional Operations Manager Retail West
To: Thomas Berger, Head of Logistics Region West
Cc: Finance BP Retail, Regional Management
Subject: *Urgent: Delivery prioritization February*
Date: 17 January 2026

Hello Thomas,

Due to the hub failure in Dortmund, around 30% of our planned transport capacity will not be available for the next two days.

The following are critical for retail:

- The ongoing weekend promotion in the Cologne/Düsseldorf metropolitan areas
- Several key accounts with confirmed delivery windows

I need a clear statement today as to which stores we can prioritize. Without targeted prioritization, we risk customer escalations.

Best regards,

Anna

Regional Operations Manager Retail West

Confidential - internal communication

Email - Finance Business Partner

From: Julia Meier, Finance BP Retail
To: Thomas Berger; Anna Kellert
Cc: Regional Management
Subject: *Re: Urgent: Delivery prioritization February*
Date: 17 January 2026

For reference:

- Option A: approx. €180,000 in additional costs, risk of negative margins in individual regions
- Option B: approx. €90,000 in additional costs, lower individual risks

From a financial perspective, there is no approved exception for unplanned additional costs of this magnitude.

Please provide a clear justification for your decision.

Confidential - internal communication

Email - HR to Regional Management

From: Claire Dubois (HR Business Partner Region West)
To: Regional Management Retail & Logistics West
Cc: Operations Management, HR Management
Subject: *Challenging situation in logistics and retail – urgent action required*
Date: 19 January 2026

Dear colleagues,

In the course of ongoing promotional and special transport operations, we are observing a sustained high workload in the logistics and retail operating units.

Particularly noticeable are:

- repeated overtime over several weeks,
- increasing sick leave in individual shifts,
- initial feedback on intentions to change jobs or resign among experienced managers at shift and team leader level.

Current performance is largely ensured by personal commitment and overtime. From an HR perspective, this is possible in the short term, but it is not a sustainable solution.

Without clear prioritization of requirements and visible relief, there is a risk that motivation, stability, and loyalty in key areas will decline.

Best regards,

Claire

HR Business Partner, West Region

Confidential - internal communication

Email - Question for clarification to the Executive Board

From: Stefan Lauth, Retail South
To: Executive Board
Cc: Works council chairperson, general works council
Subject: Question *regarding current steering system*
Date: 31 Dezember 2025

DIFFICULT TO UNDERSTAND AND TO EXPLAIN:

We are **meeting our sales targets** and are **on track with our results**.

At the same time, **budgets are being frozen** and **investments postponed**.

I find it **difficult to explain** this plausibly to my teams.

THIS CAN'T BE RIGHT...

Regards, Stefan

Confidential - internal communication

Email - Customer Escalation

From: Sophie Lambert, Group Procurement Director, EuroMart S.A. Commercial
To: Management, Group Retail Division
Cc: Regional Operations, Key Account Team
Subject: *Service Reliability and Pricing Alignment - Immediate Clarification Requested*
Date: 27 January 2026

Dear colleagues,

I am writing to you directly as the recent developments across several of our joint regions have begun to raise concerns at Group level.

Over the past eight weeks, we have observed repeated deviations from agreed delivery windows, as well as short-notice adjustments to promotional volumes. While we appreciate the broader market pressures currently affecting the sector, the cumulative impact on store operations is becoming difficult to absorb.

In parallel, we have received revised pricing proposals for the upcoming quarter that, in their current form, are not fully aligned with the commercial framework agreed for 2025. Taken individually, none of these issues would warrant escalation. Taken together, they do.

EuroMart has historically valued the reliability and predictability of our partnership as much as its economic terms. We would therefore appreciate a clear view on how service stability and pricing consistency will be ensured going forward.

I would welcome a coordinated response within the next ten working days, outlining both short-term corrective actions and your perspective on the coming quarters.

Kind regards,

Sophie
Group Procurement Director, EuroMart S.A. Commercial



Northbridge Capital Research

Independent Credit & Strategy Research

Group Credit & Cashflow Review

Lead analyst: Dr. Julian Meyer, CFA

Key observations

- Reported EBITDA stability masks a structurally weak cash conversion profile.
- Over the past fiscal year, working capital absorption and front-loaded investment activity have materially constrained internally generated liquidity.
- From an external perspective, the Group's portfolio composition remains challenging to assess. High-volume retail operations, capital-intensive infrastructure assets and a rapidly scaling digital unit coexist without clearly articulated capital allocation thresholds.

Critical questions for stakeholders

- How resilient is the current investment trajectory should free cash flow remain negative for another investment cycle?

Selected financial indicators (FY 2025)

EBITDA	€ 3.600 bn
Operating cash flow*	€ 1.602 bn
Cash conversion (OCF / EBITDA)	45.5 %
Net CAPEX incl. leases	-€ 2.328 bn
Free cash flow	-0,73 bn
Net debt / EBITDA	€ 3.300 bn

(* after lease payments / adjusted view)

Analyst conclusion

Northbridge Capital Research views the Group as strategically well positioned but financially constrained. Without clearer prioritization.

Workshop Protocol - Commercial & Market Alignment

Date: 27 January 2026
Location: Regional Sales Hub, Cologne
Participants: Regional Sales Hub, Cologne
Context: *Extraordinary workshop following increased customer escalations and recent market signals*

1. Opening & shared understanding

The workshop was opened by the Head of Commercial Excellence, who framed the session as a deliberate pause to reflect on growing tensions between market expectations and internal steering mechanisms. Participants were explicitly encouraged to speak openly and without immediate solution pressure.

Several participants noted that recent customer escalations should not be seen as isolated incidents, but as signals of a broader shift in market behavioral.

2. Market observations from the sales Organisation

Sales representatives reported a noticeable change in the tone of customer discussions. Price comparisons with competitors are now raised much earlier in negotiations, often supported by concrete alternative offers.

In parallel, customers increasingly question delivery reliability and operational flexibility. What had previously been accepted as occasional deviations is now perceived as structural rigidity. One participant summarised this sentiment by stating:

"We are no longer negotiating from a position of trust. Customers assume alternatives exist and expect us to justify why we are still the right partner."



3. Interna! constraints and perceived misalignment

A recurring theme was the perceived gap between centrally defined pricing corridors and the realities of customer-facing negotiations. While participants acknowledged the financial rationale behind tighter controls, many expressed concern about their cumulative impact on relationship management.

Operational representatives added that capacity allocation and delivery windows are increasingly optimised for efficiency, leaving limited room for ad-hoc adjustments requested by key accounts.

"Finance optimises margins quarter by quarter. We manage relationships that span decades."

4. Emerging tensions and unresolved questions

The discussion converged on a shared understanding that the Organisation is currently operating close to the limits of what customers perceive as acceptable flexibility. Participants disagreed, however on whether this should be addressed through selective exceptions, a broader adjustment of commercial principles or clearer prioritisation of key accounts.

No final decisions were taken during the workshop.

Internal Fuck-up Speech – DRAFT to be discussed

(Submitted proposal by Key Account Management Austria)

A short story to start

Last Tuesday evening, I walked into a store on my way home. Front aisle. Promotion display. The price label was there. The shelf was empty.

A store manager stood next to me, on the phone, explaining to a customer why an advertised product was not available on day two of a national promotion. I did not introduce myself. I

just listened.

That moment was uncomfortable. Not because someone had made a mistake. But because it was painfully obvious that the system had worked exactly as we had designed it to work.

What actually went wrong

Retail pushed for availability. Logistics pushed for efficiency. IT pushed for stability. Each of us did what our targets told us to do. And each of us was locally right.

Why that was not enough

Together, we optimized ourselves out of a good overall result. We had no clear end-to-end owner, no shared definition of success, and no early escalation when priorities collided.

The uncomfortable truth

We compensated with overtime, manual fixes and goodwill. That saved the week. It did not fix the system. And it made the next failure more likely, not less.

What must change

If we want different outcomes, we need different ownership, different KPIs and explicit trade-offs. Otherwise, we will repeat this story - with different products, but the same ending.

Internal use / Learning oriented reflection – not a blame statement.



Email - CIO Clarification

From: Isabelle Fournier (CIO)
To: Group Executive Board
Cc: Thomas Schneider (COO), Michael Turner (CFO)
Subject: *Promotion Week 38 - system behaviour and decision logic*
Date: 18 January 2026

Following the discussions around Promotion Week 38, I would like to clarify how the system behaved and why.

From a technical perspective, the planning and replenishment systems functioned exactly as configured. The late upward adjustment of demand (+12%) did not cross the agreed escalation threshold of +20%. Consequently, no automated capacity re-planning was triggered.

This threshold was deliberately defined to protect system stability and planning reliability during promotional periods. At the time, resilience was prioritized over maximum flexibility.

What this incident highlights is not a technical failure, but a decision dilemma: Do we want systems that strictly enforce rules, or systems that allow earlier overrides at the cost of volatility and complexity?

Both approaches are valid. What is not sustainable is expecting flexibility, stability and cost efficiency simultaneously without explicit prioritization and decision rights.

Before adjusting thresholds or architecture, we should therefore clarify which trade-offs we accept going forward and who is authorized to decide in real time.

Best regards

Isabelle

Confidential - internal communication

Email - Feedback HR

From: Peter Smith, Regional CEO Central Europe
To: Executive Board
Cc: Thomas Schneider (COO), Michael Turner (CFO)
Subject: *Urgent need for action – growing unrest in the regions*
Date: 25 January 2026

Dear colleagues,

I would like to address an issue that I believe is time sensitive.

The current conflicts between objectives and management (responsibility for results vs. strict central guidelines) can no longer be quietly compensated for across the board. There is noticeable unrest in the regions, especially among managers in key positions who bear responsibility without having clear guidance.

Regardless of any subsequent clarification of the content, I believe it is necessary to send a visible signal in the short term that the fundamental problem is being addressed. Otherwise, there is a risk that uncertainty and frustration will continue to grow—with corresponding effects on retention and poaching activities by competitors.

I am explicitly not concerned with a quick solution, but rather with timely action and clarity that the issue is being taken up at the executive board level and dealt with in a structured manner.

Best regards,

Peter
Regional CEO Central Europe

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Digital Steering Committee

Formal Mutes

Participants: Alexandra Rossi (CEO), Michael Turner (CFO), Isabelle Fournier (CIO), Heads of Retail, Logistics, HR

Duration: 90 minutes

Date: 25 January 2026

Agenda Item 3 - Integrated Planning & Promotion Platform

Status: Amber | Timeline: +6 months | Budget utilization: 72% | Business case: to be refined

Discussion (Excerpt)

Retail reiterates urgency following recent promotion issues. Logistics emphasizes need for planning stability. IT highlights scope creep and limited development capacity. Finance requests updated ROI and short-term impact. Operations notes general alignment but asks for clearer next steps.

Decisions

Agreement to refine scope. Agreement to update business case. Agreement to revisit governance model. (No formal decision taken.)

Action Items

IT to prepare revised roadmap (4 weeks). Business to clarify prioritization criteria (open). Finance to reassess ROI assumptions (open).

Email - Feedback HR

From: Peter Wagner (CHRO)
To: Executive Board
Subject: *Reflections on liquidity management and strategic priorities*
Date: 27 January 2026

Following the recent escalation meeting on the topic of Integrated Planning & Promotion Platform, I would like to share with you some observations from an HR perspective that go beyond purely operational issues.

The exchange between Retail, Logistics, IT, Finance, and Operations has made it clear that the current challenges lie less in individual processes and more in the way roles, decision-making logic, and responsibilities are structured across departments. Several contributions made it clear that managers are increasingly reaching the limits of what can be consistently implemented with the existing structures.

Key observations from an HR perspective

1. Increasing tension between responsibility and decision-making latitude
2. It was made very clear, especially from the regions, that operational responsibility without corresponding decision-making authority leads to a feeling of structural powerlessness. This point was addressed with unusual clarity, indicating a growing dissatisfaction.
3. Functional logics are diverging
4. The discussion showed once again that central requirements for stability, efficiency, and adherence to rules clash with regional market needs. All arguments were rational—but they followed different, sometimes contradictory management logics. A common end-to-end ownership is not currently apparent.
5. High friction losses due to unclear priorities

6. The recurring references to scope creep, lack of capacity, unclear ROI expectations, and parallel escalations in operational business indicate that prioritization is not sufficiently transparent or binding.
7. Risk to leadership culture and motivation

The dynamics of the discussion—especially the silence after the HR intervention in the meeting—show that the conflict has long since become emotional. There is a risk that management teams will adopt a defensive stance or begin to make decisions implicitly rather than explicitly.

Implications for the management system

From an HR perspective, it would make sense to embed the upcoming technical decisions in a structured dialogue about roles, decision-making rights, and end-to-end responsibility. Without adjusting the underlying management and control mechanisms, the operational situation will continue to escalate – regardless of how the technical or financial solution is specifically designed in the project.

I am happy to structure this dialogue conceptually and prepare it together with the departments concerned.

Kind regards,

Peter
CHRO

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Leadership & Ownership Pulse Survey 2025

Participants invited: 320

Response rate: 68%

Scale: 1 = strongly disagree | 5 = strongly agree Note:

Results reflect perceptions, not intentions

A. Role Clarity & Ownership

I have sufficient decision authority to fulfil my responsibilities. 2.4

Accountability and decision rights are aligned in my role. 2.1

When priorities conflict, it is clear who decides. 2.3

B. Targets & Incentives

My targets encourage collaboration across functions. 2.0

I am rewarded for end-to-end outcomes, not just local optimization. 1.9

I sometimes act against my own targets to do what I believe is right. 3.2

C. Pressure & Sustainability

My workload is sustainable over the next 12 months. 2.2

I have enough capacity to focus on improvement, not just firefighting. 1.8

I feel comfortable raising concerns early. 2.5

D. Trust & Leadership

I trust senior management to consider local realities. 2.6

Central decisions are explained in a way I can relate to. 2.3

I see a clear and consistent direction for the organization. 2.7



Selected anonymized comments

"I am accountable for results, but I don't feel empowered to influence the outcome." "We solve problems with personal commitment and overtime - not with structures." "The organization talks about ownership but avoids making ownership explicit."

HR comment: The data indicates a structural tension between responsibility, authority and incentives. This is not a motivation issue. It is a leadership system issue.

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Meeting notes: Exchange with rating agency

Digital Steering Committee

Confidential | internal

Date: January 26, 2026

participants:

- Michael Turner (CFO) Varexia Group
- Senior Director European Corporates, Rating agency (non-public)

Format: Phone call (informal, approx. 30 minutes)

Classification by the rating agency

- No formal rating review
- No short-term rating action planned
- Nevertheless: increased internal attention on Varexia
- Increasingly classified in peer comparison (retail/infrastructure/diversified groups)

Operative Performance

- Operating business continues to be assessed as stable
- Revenue and EBITDA development generally positive
- Portfolio diversification recognized

Cashflow & financial profile

- Cash conversion (OCF/EBITDA) significantly below historical levels
- Deviation from peers increasingly noticeable
- Main drivers from the rating agency's perspective:
 - Front-loaded CAPEX
 - Working capital tied up
 - Scope and inflexibility of the leasing footprint
 - Individual effects explainable – cumulative effect relevant

Capital allocation & governance (external perception)

- Strategic rationale behind individual investments comprehensible
- Uncertainty regarding:
 - Priorities in the event of conflicting objectives
 - Explicit thresholds (e.g., net debt/EBITDA)
 - Conditions for price adjustments

- Quote from the conversation:

„Not the question of what you do – but under which conditions you would change course. “

Expectations (implicit)

- No measures in the short term
- With cash flow pressure persisting, increasing focus on:
 - Net debt/EBITDA development (12–18 months)
 - Visibility of prioritization
 - Consistency of internal and external communication
- Governance and management quality are becoming increasingly important

Internal evaluation:

- No acute escalation
- Perception: **probationary phase**, not crisis
- External stakeholders erwarten klarere Trade-offs

(End of conversation notes)

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Internal Leadership Workshop – Executive One-Page Summary

When performance remains strong, but the system shows structural strain

1. Context

- Date: 7 January 2026
- Location: Cologne | On-site
- Format: Half-day leadership workshop
- Participants: Executive Board, Business Unit Heads, Regional CEOs
- Objective: Establish a shared fact base and leadership alignment

Implication:

Without explicit prioritization and clear decision ownership, organizational strain will continue to increase despite strong reported performance.

1. Situation Assessment

- Operating performance remains robust across business units
- Cash flow and efficiency targets are increasingly binding
- Steering mechanisms show growing internal contradictions
- Target conflicts are managed implicitly rather than resolved explicitly

- Selective rule-bending to protect customer and revenue outcomes
- Escalations avoided to preserve short-term stability

3. Key Structural Tensions

- Market responsiveness vs. efficiency and cost discipline
- Flexibility at the front line vs. system stability and standardization
- Accountability for results vs. limited decision authority
- Short-term cash discipline vs. service levels and growth ambitions

5. Emerging Risks

- Gradual erosion of leadership clarity and credibility
- Rising frustration and cynicism in experienced management layers
- Increased vulnerability to external recruitment pressure
- Growing dependence on informal workarounds

4. Current Organizational Response

- Increased reliance on managerial discretion and informal decisions
- Sustained overtime and personal commitment in critical roles

6. Core Insight

- The challenge is neither operational nor purely financial
- It is a leadership and steering issue at enterprise level
- Non-decision has become an implicit decision with material risk
- Explicit prioritization is required to restore system coherence

Leadership Conference 2025

Navigating a More Fragmented World

Excerpt from the internal leadership newsletter – December 2025

*As part of this year's Global Leadership Conference in November, senior leaders from across the **Varexia** Group came together to reflect on the company's strategic priorities and the broader environment in which we operate.*

One of the external highlights of the conference was a keynote delivered by Peter Neumann, senior partner from McKinsey & Company, who provided a concise but thought-provoking perspective on recent shifts in the global economic and political landscape.

In his talk, Peter described how the world is moving away from a broadly rules-based, predictable order towards a more fragmented and multipolar reality. Trade flows, energy markets, technology ecosystems and regulatory regimes, he argued, are increasingly shaped by geopolitical considerations rather than purely economic logic. As a result, volatility and uncertainty are becoming structural features rather than temporary disruptions.

While the presentation deliberately avoided political assessments, it resonated strongly with many participants because of its implications for leadership and decision-making in large organizations.

A central message of the keynote was that in a multipolar environment, contradictions cannot simply be optimized away. Efficiency, resilience, flexibility and financial discipline often pull in different directions. Where such tensions used to be manageable through implicit compromises and informal coordination, they now tend to surface more sharply and more frequently.

Several leaders noted in subsequent discussions that this perspective helped them reframe current challenges within the organization. Issues



*Keynote session during the Global Leadership Conference 2025:
External context briefing on the implications of a more multipolar world.*

around prioritization, decision authority and the balance between global standards and local responsiveness were no longer seen as isolated internal questions, but as reflections of a more complex external context.

Rather than offering ready-made answers, the keynote served as an invitation to reflect more deeply on how leadership assumptions may need to evolve. In particular, it highlighted the growing importance of making trade-offs explicit and of clearly owning decisions in situations where not all objectives can be achieved simultaneously.

The session was widely appreciated for providing a shared language and reference point that continued to shape conversations throughout the conference – and beyond